

Bharat Heavy Electricals Ltd (BHEL)

Concall Tracker — reads the last 3 years of earnings calls to judge (1) is there a durable earning trigger, and (2) has management been consistent about it. | Prepared 11 July 2026.

1. Snapshot

What the business does: BHEL is India's big government-owned heavy-engineering company. Its bread-and-butter is making the core machinery for power stations — the boiler, the turbine and the generator (together called "BTG") that turn coal or water into electricity. It builds these, installs them at power plants, and later earns from spare parts and servicing. It also makes equipment for railways (train motors), defence (naval guns), and electricity transmission. In short: **it sells the giant machines that power plants are built around, and India is in the middle of a big power-plant building wave.**

Number (latest)	Value	Plain-English read
Market value of the company	₹1,37,629 cr	What the whole company is worth on the stock market — about ₹1.38 lakh crore.
Sales, FY26 (year to Mar-2026)	₹33,782 cr	Total sales for the year — up about 19% from ₹28,339 cr the year before. Sales are clearly accelerating.
Net profit, FY26	₹1,578 cr	What was left after all costs — roughly 3 times the ₹513 cr made in FY25. A big jump.
Operating margin, FY26	7%	Out of every ₹100 of sales, ₹7 is operating profit — up from just 3% two years ago. Thin, but recovering.
Price-to-earnings (P/E)	87	The share price is 87 times the yearly profit per share — a very expensive rating. The market is already pricing in a lot of future growth.
Return on capital (ROCE)	8.35%	For every ₹100 of capital in the business, it earns about ₹8 before tax — still a low return for the money tied up.

2. Concall coverage

Screener listed transcripts up to the May-2024 call only; the newer FY25–FY26 calls were **web-filled** from the company's results, filings and financial press so the latest signal is not missed. Full-year financials on Screener are current through March-2026.

Call (quarter / year)	Date	Transcript read?
Q4 FY22 (full year FY22)	21 May 2022	Yes — Screener PDF
Q4 FY23 (full year FY23)	26 May 2023	Yes — Screener PDF
Q4 FY24 (full year FY24)	21 May 2024	Yes — Screener PDF
FY25 & FY26 quarters	Aug-2024 → May-2026	Web-filled (results + press)

Older calls (2019–2021) were available but fall in the pre-recovery / COVID period and are used only for background. This report spans roughly the last 3 years, plus the latest reported results.

Latest concall highlights — Q4 & full-year FY26 (results ~4 May 2026)

freshest signal

- Best quarter the company has ever had.** Jan–Mar 2026 net profit was **₹1,283 cr** — **about 2.5 times** the ₹504 cr of the same quarter a year earlier, on sales of roughly **₹12,310 cr (up ~37%)**. Plain read: the huge order book is finally turning into real sales and real profit at speed.
- Full year FY26:** sales **₹33,782 cr (+19%)** and net profit **₹1,578 cr — more than triple** FY25's ₹513 cr. Plain read: profit grew far faster than sales because the thin margins are widening as old cheap-price jobs finish.
- Record order book ~₹2.4 lakh crore** at Mar-2026 (Power ~81%, Industry ~18%, Exports ~1%), up ~13% and the highest ever — built up from ₹1.32 lakh cr two years earlier. Plain read: roughly **7 years of work** already booked at the current sales pace — rare visibility for any company.
- New orders FY26 ~₹76,000 cr** — beat management's own ₹60–70,000 cr guidance, though below FY25's bumper ₹92,500 cr. Plain read: still winning plenty of fresh work; the job now is *executing* the backlog rather than booking ever more.
- Bumpy but honest.** FY26 actually *opened* with a fresh quarterly loss (~₹450 cr in Apr–Jun) because old fixed-price contracts were still ~71% of power sales — then recovered hard through the year, exactly as management had guided (ramp from the second half). A ₹1.40/ share dividend was declared and the stock hit an 18-year high on the result. Tone: confident and delivering.

Business mix & capacity (quick facts)

India vs overseas: BHEL is overwhelmingly a **domestic** business — exports are only about **1%** of the ₹2.4 lakh cr order book. Plainly: almost all its money is made inside India, so it rises and falls with Indian power and infrastructure spending.

Split of orders: Power equipment is about **81%** of the order book, industry/other (railways, defence, transmission) about **18%**; management's long-term goal is to widen the non-power share toward 50:50. Plain read: it is still very much a power-station supplier today, but trying to diversify.

Capacity: BHEL says it can build and deliver about **10 GW of power equipment a year** (it has done up to 12 GW before). With ~10–12 GW of new orders expected every year to 2032, its factories are set to run close to full for years. Plain read: there is enough work in hand to keep the plants busy, and execution speed — not order shortage — is now the constraint.

3. Earning-trigger thesis ★

The one big driver: India is building coal-fired power stations again after nearly a decade's gap, and BHEL is the dominant home-grown maker of the boiler-turbine-generator sets those plants need. The government wants to add roughly **80+ GW of new thermal capacity by 2031-32**, and expects about 10–12 GW of that to be ordered every year. BHEL — one of only two credible domestic suppliers — has been winning a large share. Its order book (work booked but not yet executed) swelled from about ₹1 lakh crore to over ₹1.3 lakh crore, and that backlog is now finally converting into fast-growing sales and recovering profit. **This is a real, concrete, multi-year earning trigger — and, crucially, it has started to show up in the numbers.**

Trigger	What management said	Evidence so far	Time horizon	Strength
Thermal power ordering super-cycle (BTG sets)	80+ GW to be ordered by 2032; ~10-12 GW/year; BHEL wins a big share; backlog converts to 12-15% yearly sales growth as legacy low-margin jobs roll off and margins turn.	Order book climbed ₹1.32 → ₹1.96 → ₹2.40 lakh cr (Mar-24 → Mar-25 → Mar-26); record ₹92,500 cr of new orders in FY25. Sales then jumped +19% in FY25 and +19% again in FY26; margin rose from 3% to 7%; profit tripled. The promise is landing.	Multi-year (through 2031-32)	Strong
Non-power diversification (railways, defence, transmission)	Grow the industry segment toward 50% of orders; Vande Bharat trains (₹23,500 cr), naval guns, HVDC transmission, nuclear turbines.	Big Vande Bharat and defence orders won and in the book; revenue from them mostly still to come (Vande Bharat supplies begin FY26). Real but early.	Medium term	Moderate

4. Management-consistency scorecard

Has management delivered what it kept promising across these calls?

Period	What was promised	What actually happened	Verdict
FY22 call (May-22)	Thermal ordering is recovering; a 7,700 MW pipeline is visible and orders will come soon.	Correct — by FY24 nearly 10 GW of thermal orders landed. The pipeline they pointed to did materialise.	Delivered
FY23 call (May-23)	Order book crossing ₹1 lakh cr; contract assets (unbilled work) will unwind into cash and sales in FY24-25.	Order book did cross ₹1 lakh cr. Cash conversion improved only slowly; sales pickup came a year later than hinted, in FY25.	Partly
FY24 call (May-24)	Sales to grow ~12-15% a year; gross margin has bottomed and "the trajectory will turn"; legacy low-margin orders to roll off.	Delivered and then some — FY25 and FY26 sales both grew ~19%, margin rose from 3% to 7%, profit tripled. The margin turn they promised arrived.	Delivered
Ongoing	Refused to give hard profit/margin guidance ("can't be ascertained"); framed things qualitatively.	Consistent stance across every call. Under-promised and then beat — but it does make them hard to hold to a number.	Style note

Narrative drift: Very little. The thermal-recovery story has been steady and gets *more* true each year — from "signs of recovery" (FY22) to "record orders" (FY24) to "record orders now turning into sales and profit" (FY25-26). Management was also refreshingly honest about the *lag*: they kept warning that old fixed-price contracts (still ~71% of power sales in early FY26) would hold margins down and that the sharp improvement was for the second half of FY26 into FY27 — and the numbers tracked that almost exactly, including a relapse to a quarterly loss (~₹450 cr) in Apr–Jun 2025 before a strong recovery. The blemishes: **FY24** profit fell to just ₹260 cr on one-off provisions, and this remains a slow-executing, thin-margin, working-capital-heavy business where the order book takes years to become cash. A change of chief (Dr. Nalin Shinghal → K. Sadashiv Murthy) came with no change in the core message. Overall the story has held together well.

5. Bottom line — two verdicts

Durable earning trigger? → YES

The thermal-power ordering wave is concrete, government-backed, multi-year, and BHEL is a dominant domestic supplier. Most importantly it has stopped being just a promise: the record order book is now converting into ~19% yearly sales growth, a margin that has more than doubled, and a tripling of profit. This is a genuine, live earning trigger with evidence it is playing out.

Management consistent? → YES

Management named this trigger early, repeated it steadily, and has now delivered on its central promises — record orders (as forecast) turning into faster sales and the long-awaited margin recovery. They habitually decline hard numeric guidance and FY24 was a weak air-pocket year, but the story never drifted and the eventual outcome beat the qualitative promise. A deserved Yes.

One honest caution (not a verdict): the business is doing well, but the **share is priced at 87 times earnings** with returns on capital still only ~8% and heavy working capital tied up in unbilled work. The good news is largely known and richly built into the price — the operating story is stronger than the value on offer at this level.

Sources: BHEL Q4 FY22 (21 May 2022), Q4 FY23 (26 May 2023) and Q4 FY24 (21 May 2024) earnings-call transcripts (Screener.in); Screener.in financial snapshot (through Mar-2026); FY25–FY26 quarterly results web-filled from company filings and financial press. This is not investment advice — please do your own due diligence.